

---

**JANSSEN PHARMACEUTICAL**

---

**ANNUAL REPORT**

**FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

## JANSSEN PHARMACEUTICAL

---

### CONTENTS

---

|                                   | Page    |
|-----------------------------------|---------|
| Company information               | 1       |
| Directors' report                 | 2 - 5   |
| Independent auditors' report      | 6 - 8   |
| Income statement                  | 9       |
| Statement of comprehensive income | 10      |
| Statement of financial position   | 11      |
| Statement of changes in equity    | 12 - 13 |
| Notes to the financial statements | 14 - 37 |

---

## JANSSEN PHARMACEUTICAL

---

### COMPANY INFORMATION

---

|                           |                                                                                                     |
|---------------------------|-----------------------------------------------------------------------------------------------------|
| <b>Directors</b>          | Hugh Murphy<br>Lorcan Travers<br>Brendan O'Leary<br>Dave Geelan                                     |
| <b>Company Secretary</b>  | Brendan O'Leary                                                                                     |
| <b>Registered number</b>  | 79963                                                                                               |
| <b>Registered office</b>  | Janssen Pharmaceutical<br>Little Island Industrial Estate<br>Little Island<br>Co Cork               |
| <b>Statutory auditors</b> | PricewaterhouseCoopers<br>Chartered Accountants and Statutory Audit Firm<br>One Albert Quay<br>Cork |
| <b>Bankers</b>            | Citibank<br>25 Canada Square<br>Canary Wharf<br>London E14 5LB<br>United Kingdom                    |
| <b>Solicitors</b>         | Eugene F Collins<br>Temple Chambers<br>3 Burlington Road<br>Dublin 4                                |

---

## JANSSEN PHARMACEUTICAL

---

### DIRECTORS' REPORT FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

The directors present their annual report and the audited financial statements for the financial year ended 31 December 2017.

#### Statement of directors' responsibilities

The directors are responsible for preparing the directors' report and the financial statements in accordance with Irish law.

Irish law requires the directors to prepare financial statements for each financial year giving a true and fair view of the company's assets, liabilities and financial position at the end of the financial year and profit or loss of the company for the financial year. Under that law, the directors have prepared the financial statements in accordance with Irish Generally Accepted Accounting Practice (accounting standards issued by the UK Financial Reporting Council, including Financial Reporting Standard 101, 'Reduced Disclosure Framework', The Financial Reporting Standard applicable in the UK and Republic of Ireland and Irish law).

Under Irish law, the directors shall not approve the financial statements unless they are satisfied that they give a true and fair view of the assets, liabilities and financial position of the company for the financial year and of the profit or loss of the company for the financial year.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether the financial statements have been prepared in accordance with applicable accounting standards and identify those standards in question, subject to any material departures from those standards being disclosed and explained in the financial statements.
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to:

- correctly record and explain the transactions of the company;
- enable, at any time, the assets, liabilities, financial position and profit or loss of the company to be determined with reasonable accuracy; and
- enable the directors to ensure that the financial statements comply with the Companies Act 2014 and enable those financial statements to be audited.

The directors are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

---

## JANSSEN PHARMACEUTICAL

---

### DIRECTORS' REPORT FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

#### Principal activities, review of the business and future developments

Janssen Pharmaceutical is an investment holding company. It is a fully owned subsidiary of Johnson & Johnson.

The company's dividend income for the financial year was €333,230,000 (2016: €2,418,878,000).

On 23 December 2016, Janssen Pharmaceutical International Holdings Limited merged with the company and transferred its assets and liabilities to Janssen Pharmaceutical.

On 1 January 2017, the business and assets of the company were sold to an affiliate company Janssen Pharmaceutical Sciences UC.

The principal activity of the company is to act as an investment holding company now and in future financial years.

The company's financial year ends on the Sunday closest to 31 December, being 31 December 2017 for the current year (52 weeks) and 1 January 2017 for the prior year (52 weeks).

#### Profits, dividends and reserves

The profit for the financial year, after taxation, amounted to €2,486,073,000 (2016: €1,966,820,000).

The company's statement of financial position shows total equity at 31 December 2017 of €20,858,342,000 (2016: €18,372,269,000).

The directors do not recommend the payment of a dividend (2016: €432,309,000).

#### Principal risks and uncertainties

The business and assets of the company were transferred to an affiliate company Janssen Pharmaceutical Sciences UC during the financial year ended 1 January 2017. The principal activity of the company is to act as an investment holding company. There are no major identifiable risk and uncertainties that would significantly impact the company.

#### Financial risk management

The policies set by the Group are implemented by the company's finance department. The department has a policy and procedures manual that sets out specific guidelines to manage price risk, credit risk, liquidity risk, interest rate cash flow risk and foreign exchange risk and circumstances where it would be appropriate to use financial instruments to manage these. The company does not have significant exposure to price risk, credit risk, liquidity risk or interest rate cash flow risk.

#### Research and development

Research and development for the group are carried out by other companies in the Johnson & Johnson group.

#### Events since the year end

There have been no events impacting the company since the year end.

---

## JANSSEN PHARMACEUTICAL

---

### DIRECTORS' REPORT FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

#### Directors and secretary

The names of the persons who are currently or were directors at any time during the financial year ended 31 December 2017 are set out below. Except where indicated, they served for the full year:

T Demoncheaux (resigned 26 March 2018)  
R Koors (resigned 26 March 2018)  
A Birge (resigned 26 March 2018)  
E Denman (resigned 26 March 2018)  
P Wulfinfing (resigned 26 March 2018)  
Hugh Murphy (appointed 26 March 2018)  
Lorcan Travers (appointed 26 March 2018)  
Brendan O'Leary (appointed 26 March 2018)  
Dave Geelan (appointed 26 March 2018)

Brendan O'Leary is the company secretary and held this position from 26th March 2018 replacing Conyers Corporate Service (Bermuda) Limited.

#### Directors' and secretary's interests

The directors and secretary and their families had no other interest in the shares of the company or any other group company that is required to be disclosed in accordance with section 329 of the Companies Act 2014.

#### Accounting records

The measures taken by the directors to ensure compliance with the requirements of Sections 281 to 285 of the Companies Act 2014 with regard to the keeping of accounting records, are the support of appropriately qualified accounting personnel and the maintenance of computerised accounting systems. The company's accounting records are maintained at Janssen Pharmaceutical, Little Island Industrial Estate, Little Island, Co Cork.

#### Political donations

The Electoral (Amendment) (Political Funding) Act, 2012, requires companies to disclose all political donations over €200 in aggregate made during the financial year. The directors, on enquiry, have satisfied themselves that no such donations in excess of this amount have been made by the company.

#### Going concern

The net current liability position of the company could have a negative impact on the company's ability to continue to operate as a going concern. The company has net current liabilities at year end of €13,406,903,000 (2016: €14,288,966,000).

The company is reliant on implicit support from its ultimate parent company Johnson & Johnson. The company actively monitors the cash flow with the intention to enable a gradual repayment of the outstanding payable position. The company has a number of subsidiaries which have healthy cash flows which can sustain such a gradual repayment.

Therefore the directors, after making enquiries and having considered the company's financial position and expected future cash flows, have a reasonable expectations that the company had adequate resources to continue in operational existence for the foreseeable future. For this reason, the going concern basis continues to be adopted in preparing the financial statements.

---

## JANSSEN PHARMACEUTICAL

---

### DIRECTORS' REPORT FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

#### Disclosure of information to auditors

Each of the persons who are directors at the time when this directors' report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the company's auditors are unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the company's auditors are aware of that information.

#### Audit committee

The directors have decided not to establish an audit committee. The ultimate parent, Johnson & Johnson, already has an audit committee and all related financial controls in place which fulfil the financial oversight functions for the group as a whole.

#### Statutory auditors

The statutory auditors, PricewaterhouseCoopers, have indicated their willingness to continue in office and a resolution that they will be re-appointed will be proposed at the Annual General Meeting.

This report was approved by the board on 9 October 2018 and signed on its behalf.

**Dave Geelan**  
Director

**Brendan O'Leary**  
Director



## ***Independent auditors' report to the members of Janssen Pharmaceutical***

### ***Report on the audit of the financial statements***

---

#### **Opinion**

In our opinion, Janssen Pharmaceutical's financial statements:

- give a true and fair view of the company's assets, liabilities and financial position as at 31 December 2017 and of its profit for the year then ended;
- have been properly prepared in accordance with Generally Accepted Accounting Practice in Ireland (accounting standards issued by the Financial Reporting Council of the UK, including Financial Reporting Standard 101 "Reduced Disclosure Framework", and promulgated by the Institute of Chartered Accountants in Ireland and Irish law); and
- have been properly prepared in accordance with the requirements of the Companies Act 2014.

We have audited the financial statements, included within the Annual Report, which comprise:

- the statement of financial position as at 31 December 2017;
- the income statement for the year then ended;
- the statement of comprehensive income for the year then ended;
- the statement of changes in equity for the year then ended; and
- the notes to the financial statements, which include a description of the significant accounting policies.

---

#### **Basis for opinion**

We conducted our audit in accordance with International Standards on Auditing (Ireland) ("ISAs (Ireland)") and applicable law.

Our responsibilities under ISAs (Ireland) are further described in the Auditors' responsibilities for the audit of the financial statements section of our report. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

#### **Independence**

We remained independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in Ireland, which includes IAASA's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

---

#### **Conclusions relating to going concern**

We have nothing to report in respect of the following matters in relation to which ISAs (Ireland) require us to report to you where:

- the directors' use of the going concern basis of accounting in the preparation of the financial statements is not appropriate; or
- the directors have not disclosed in the financial statements any identified material uncertainties that may cast significant doubt about the company's ability to continue to adopt the going concern basis of accounting for a period of at least twelve months from the date when the financial statements are authorised for issue.

However, because not all future events or conditions can be predicted, this statement is not a guarantee as to the company's ability to continue as a going concern.





---

## Reporting on other information

The other information comprises all of the information in the Annual Report other than the financial statements and our auditors' report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, accordingly, we do not express an audit opinion or, except to the extent otherwise explicitly stated in this report, any form of assurance thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If we identify an apparent material inconsistency or material misstatement, we are required to perform procedures to conclude whether there is a material misstatement of the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report based on these responsibilities.

With respect to the Directors' Report, we also considered whether the disclosures required by the Companies Act 2014 have been included.

Based on the responsibilities described above and our work undertaken in the course of the audit, ISAs (Ireland) and the Companies Act 2014 require us to also report certain opinions and matters as described below:

- In our opinion, based on the work undertaken in the course of the audit, the information given in the Directors' Report for the year ended 31 December 2017 is consistent with the financial statements and has been prepared in accordance with applicable legal requirements.
- Based on our knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified any material misstatements in the Directors' Report.

---

## Responsibilities for the financial statements and the audit

### *Responsibilities of the directors for the financial statements*

As explained more fully in the Statement of Directors' Responsibilities set out on page 2, the directors are responsible for the preparation of the financial statements in accordance with the applicable framework and for being satisfied that they give a true and fair view.

The directors are also responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations or have no realistic alternative but to do so.

### *Auditors' responsibilities for the audit of the financial statements*

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs (Ireland) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

A further description of our responsibilities for the audit of the financial statements is located on the IAASA website at:

[https://www.iaasa.ie/getmedia/b2389013-1cf6-458b-9b8f-a08202dc0c3a/Description\\_of\\_auditors\\_responsibilities\\_for\\_audit.pdf](https://www.iaasa.ie/getmedia/b2389013-1cf6-458b-9b8f-a08202dc0c3a/Description_of_auditors_responsibilities_for_audit.pdf)

This description forms part of our auditors' report.

### *Use of this report*

This report, including the opinions, has been prepared for and only for the company's members as a body in accordance with section 391 of the Companies Act 2014 and for no other purpose. We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing.



## Other required reporting

---

### Companies Act 2014 opinions on other matters

- We have obtained all the information and explanations which we consider necessary for the purposes of our audit.
- In our opinion the accounting records of the company were sufficient to permit the financial statements to be readily and properly audited.
- The financial statements are in agreement with the accounting records.

---

### Companies Act 2014 exception reporting

#### *Directors' remuneration and transactions*

Under the Companies Act 2014 we are required to report to you if, in our opinion, the disclosures of directors' remuneration and transactions specified by sections 305 to 312 of that Act have not been made. We have no exceptions to report arising from this responsibility.

*Bernie O'Connell*

Bernie O'Connell  
for and on behalf of PricewaterhouseCoopers  
Chartered Accountants and Statutory Audit Firm  
Cork  
17 October 2018

---

**JANSSEN PHARMACEUTICAL**

---

**INCOME STATEMENT  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

|                                                        |             | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial<br/>year ended<br/>1 January<br/>2017<br/>€000</i> |
|--------------------------------------------------------|-------------|-----------------------------------------------------------------------|-----------------------------------------------------------------|
|                                                        | <b>Note</b> |                                                                       |                                                                 |
| Revenue                                                |             | -                                                                     | 1,125,318                                                       |
| Cost of sales                                          |             | -                                                                     | (985,471)                                                       |
| <b>Gross profit</b>                                    |             | -                                                                     | 139,847                                                         |
| Net operating expenses                                 |             | <b>(6,988)</b>                                                        | <b>(44,706)</b>                                                 |
| <b>Operating (loss)/profit</b>                         | <b>4</b>    | <b>(6,988)</b>                                                        | 95,141                                                          |
| Income from investments in subsidiaries                | 7           | <b>333,230</b>                                                        | 2,418,878                                                       |
| Interest receivable and similar income                 | 8           | <b>44</b>                                                             | 12                                                              |
| Interest payable and similar expenses                  | 9           | <b>(146,983)</b>                                                      | (102,737)                                                       |
| Other finance income/(expense)                         | 10          | <b>1,936,900</b>                                                      | (432,574)                                                       |
| Reversal of impairment of investment in subsidiary     | 12          | <b>369,870</b>                                                        | -                                                               |
| <b>Profit on ordinary activities before income tax</b> |             | <b>2,486,073</b>                                                      | 1,978,720                                                       |
| Income tax expense on ordinary activities              | 11          | -                                                                     | (11,900)                                                        |
| <b>Profit for the financial year</b>                   |             | <b>2,486,073</b>                                                      | 1,966,820                                                       |

All amounts relate to continuing operations.

---

**JANSSEN PHARMACEUTICAL**

---

**STATEMENT OF COMPREHENSIVE INCOME  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

|                                                                     |    | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial<br/>year ended<br/>1 January<br/>2017<br/>€000</i> |
|---------------------------------------------------------------------|----|-----------------------------------------------------------------------|-----------------------------------------------------------------|
| Profit for the financial year                                       |    | <b>2,486,073</b>                                                      | <b>1,966,820</b>                                                |
| <b>Other comprehensive (expense)/income:</b>                        |    |                                                                       |                                                                 |
| <b>Items that will not be reclassified to profit or loss:</b>       |    |                                                                       |                                                                 |
| Actuarial loss on defined benefit pension schemes                   | 19 | -                                                                     | (19,566)                                                        |
| Movement of deferred tax relating to defined benefit pension scheme | 16 | -                                                                     | 2,446                                                           |
|                                                                     |    | <b>-</b>                                                              | <b>(17,120)</b>                                                 |
| <b>Other comprehensive expense net of tax</b>                       |    | <b>-</b>                                                              | <b>(17,120)</b>                                                 |
| <b>Total comprehensive income for the financial year</b>            |    | <b>2,486,073</b>                                                      | <b>1,949,700</b>                                                |

The notes on pages 14 to 37 form part of these financial statements.

**JANSSEN PHARMACEUTICAL**

**STATEMENT OF FINANCIAL POSITION  
AS AT 31 DECEMBER 2017**

|                                                                          | Note | 31 December<br>2017<br>€000 | 31 December<br>2017<br>€000 | 1 January<br>2017<br>€000 | 1 January<br>2017<br>€000 |
|--------------------------------------------------------------------------|------|-----------------------------|-----------------------------|---------------------------|---------------------------|
| <b>Non current assets</b>                                                |      |                             |                             |                           |                           |
| Investments in subsidiaries                                              | 12   |                             | <b>34,265,245</b>           |                           | 32,661,235                |
|                                                                          |      |                             | <b>34,265,245</b>           |                           | 32,661,235                |
| <b>Current assets</b>                                                    |      |                             |                             |                           |                           |
| Trade and other receivables                                              | 13   | -                           |                             | 1,987,528                 |                           |
| Cash and cash equivalents                                                |      | <b>8</b>                    |                             | <b>10</b>                 |                           |
|                                                                          |      | <b>8</b>                    |                             | 1,987,538                 |                           |
| <b>Trade and other payables: amounts<br/>falling due within one year</b> | 14   | <b>(13,406,911)</b>         |                             | <b>(16,276,504)</b>       |                           |
| <b>Net current liabilities</b>                                           |      |                             | <b>(13,406,903)</b>         |                           | <b>(14,288,966)</b>       |
| <b>Net assets</b>                                                        |      |                             | <b>20,858,342</b>           |                           | <b>18,372,269</b>         |
| <b>Capital and reserves</b>                                              |      |                             |                             |                           |                           |
| Ordinary shares                                                          | 20   |                             | <b>13,626,844</b>           |                           | 1,492,680                 |
| Share premium                                                            | 21   |                             | <b>3,502,798</b>            |                           | 10,959,118                |
| Capital redemption reserve                                               | 21   |                             | <b>337,189</b>              |                           | -                         |
| Share based payment reserve                                              | 21   |                             | -                           |                           | 1,304                     |
| Other reserves                                                           | 21   |                             | <b>1,304</b>                |                           | -                         |
| Capital contribution                                                     |      |                             | <b>368,374</b>              |                           | 368,374                   |
| Merger reserve                                                           | 21   |                             | <b>(6,929,092)</b>          |                           | (1,914,059)               |
| Retained earnings                                                        |      |                             | <b>9,950,925</b>            |                           | 7,464,852                 |
| <b>Total equity</b>                                                      |      |                             | <b>20,858,342</b>           |                           | <b>18,372,269</b>         |

The financial statements were approved and authorised for issue by the board and were signed on its behalf:

**Dave Geelan**  
Director

**Brendan O'Leary**  
Director

Date: 9 October 2018

Date: 9 October 2018

The notes on pages 14 to 37 form part of these financial statements.

JANSSEN PHARMACEUTICAL

STATEMENT OF CHANGES IN EQUITY  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

|                                                                                                        | Ordinary<br>shares<br>€000 | Share<br>premium<br>€000 | Capital<br>redemption<br>reserve<br>€000 | Other<br>reserves<br>€000 | Share<br>based<br>payment<br>reserve<br>€000 | Capital<br>contribution<br>€000 | Merger<br>reserve<br>€000 | Retained<br>earnings<br>€000 | Total equity<br>€000 |
|--------------------------------------------------------------------------------------------------------|----------------------------|--------------------------|------------------------------------------|---------------------------|----------------------------------------------|---------------------------------|---------------------------|------------------------------|----------------------|
| At 2 January 2017                                                                                      | 1,492,680                  | 10,959,118               | -                                        | -                         | 1,304                                        | 368,374                         | (1,914,059)               | 7,464,852                    | 18,372,269           |
| Profit for the financial year                                                                          | -                          | -                        | -                                        | -                         | -                                            | -                               | -                         | 2,486,073                    | 2,486,073            |
| <b>Total comprehensive income for the financial year</b>                                               | -                          | -                        | -                                        | -                         | -                                            | -                               | -                         | 2,486,073                    | 2,486,073            |
| Shares issued during the financial year                                                                | 12,230,280                 | -                        | -                                        | -                         | -                                            | -                               | -                         | -                            | 12,230,280           |
| Shares redeemed during the financial year                                                              | (96,116)                   | (241,073)                | -                                        | -                         | -                                            | -                               | -                         | -                            | (337,189)            |
| Transfer to other reserve                                                                              | -                          | -                        | -                                        | 1,304                     | (1,304)                                      | -                               | -                         | -                            | -                    |
| Reduction in share premium                                                                             | -                          | (7,215,247)              | -                                        | -                         | -                                            | -                               | 7,215,247                 | -                            | -                    |
| Increase in share capital as part of merger with Janssen Pharmaceutical International Holdings Limited | -                          | -                        | -                                        | -                         | -                                            | -                               | (12,230,280)              | -                            | (12,230,280)         |
| Redemption of shares to Ethicon Ireland and reduction of share premium                                 | -                          | -                        | 337,189                                  | -                         | -                                            | -                               | -                         | -                            | 337,189              |
| <b>Total transactions with owners</b>                                                                  | 12,134,164                 | (7,456,320)              | 337,189                                  | 1,304                     | (1,304)                                      | -                               | (5,015,033)               | -                            | -                    |
| <b>At 31 December 2017</b>                                                                             | <b>13,626,844</b>          | <b>3,502,798</b>         | <b>337,189</b>                           | <b>1,304</b>              | <b>-</b>                                     | <b>368,374</b>                  | <b>(6,929,092)</b>        | <b>9,950,925</b>             | <b>20,858,342</b>    |

JANSSEN PHARMACEUTICAL

STATEMENT OF CHANGES IN EQUITY  
FOR THE FINANCIAL YEAR ENDED 1 JANUARY 2017

|                                                                                                             | Ordinary<br>shares | Share<br>premium  | Share<br>based<br>payment<br>reserve | Capital<br>contribution | Merger<br>reserve  | Retained<br>earnings | Total equity      |
|-------------------------------------------------------------------------------------------------------------|--------------------|-------------------|--------------------------------------|-------------------------|--------------------|----------------------|-------------------|
|                                                                                                             | €000               | €000              | €000                                 | €000                    | €000               | €000                 | €000              |
| At 4 January 2016                                                                                           | 1,496              | 7,215,262         | 2,104                                | 368,374                 | -                  | 5,978,967            | 13,566,203        |
| <b>Other comprehensive income for the financial year</b>                                                    |                    |                   |                                      |                         |                    |                      |                   |
| Profit for the financial year                                                                               | -                  | -                 | -                                    | -                       | -                  | 1,966,820            | 1,966,820         |
| Actuarial losses on defined benefit pension scheme                                                          | -                  | -                 | -                                    | -                       | -                  | (17,120)             | (17,120)          |
| <b>Total comprehensive income for the financial year</b>                                                    | -                  | -                 | -                                    | -                       | -                  | 1,949,700            | 1,949,700         |
| Dividends paid                                                                                              | -                  | -                 | -                                    | -                       | -                  | (432,309)            | (432,309)         |
| Shares issued during the financial year                                                                     | 1,491,184          | -                 | -                                    | -                       | -                  | -                    | 1,491,184         |
| Shares premium during the financial year                                                                    | -                  | 3,743,856         | -                                    | -                       | -                  | -                    | 3,743,856         |
| Addition during the financial year - reserves from Janssen<br>Pharmaceutical International Holdings Limited | -                  | -                 | -                                    | -                       | (1,914,059)        | (31,506)             | (1,945,565)       |
| Movement in share based payment reserve                                                                     | -                  | -                 | (800)                                | -                       | -                  | -                    | (800)             |
| <b>Total transactions with owners</b>                                                                       | <b>1,491,184</b>   | <b>3,743,856</b>  | <b>(800)</b>                         | <b>-</b>                | <b>(1,914,059)</b> | <b>(463,815)</b>     | <b>2,856,366</b>  |
| <b>At 2 January 2017</b>                                                                                    | <b>1,492,680</b>   | <b>10,959,118</b> | <b>1,304</b>                         | <b>368,374</b>          | <b>(1,914,059)</b> | <b>7,464,852</b>     | <b>18,372,269</b> |

The notes on pages 14 to 37 form part of these financial statements.

---

## JANSSEN PHARMACEUTICAL

---

### NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

#### 1. General information

Janssen Pharmaceutical is engaged in the manufacture and distribution of pharmaceutical and medical products. It is a fully owned subsidiary of Johnson & Johnson. On 23 December 2016, Janssen Pharmaceutical International Holdings Limited merged with the company and transferred its assets and liabilities to Janssen Pharmaceutical. On 1 January 2017, the business and net assets of the company were sold to an affiliate company, Janssen Pharmaceutical Sciences UC.

The company is an unlimited entity, incorporated in the Republic of Ireland. The address of its registered office is Janssen Pharmaceutical, Little Island Industrial Estate, Little Island, Co Cork.

OMJ Pharmaceuticals, a company incorporated in the United States, is the company's immediate parent undertaking.

Johnson & Johnson, incorporated in the United States of America, is the company's parent undertaking.

Johnson & Johnson prepares group financial statements and is both the smallest and largest group for which group financial statements are drawn up and of which Janssen Pharmaceutical is a member. Copies of the consolidated financial statements may be obtained from the Secretary, Johnson & Johnson Inc., One Johnson & Johnson Plaza, New Brunswick, New Jersey 08933, USA.

As Janssen Pharmaceutical is included in the consolidated financial statements of Johnson & Johnson, it is exempt, by virtue of section 300 of the Companies Act 2014, from the requirement to prepare group financial statements.

As the company is a wholly owned subsidiary of Johnson & Johnson, the group financial statements of which are publicly available, advantage is taken from the exemption from disclosing transactions with group companies and from presenting a cash flow statement.

These financial statements are the company's separate financial statements for the financial year beginning 2 January 2017 and ending 31 December 2017.

The company's financial year ends on Sunday closest to 31 December, being 31 December 2017 for the current year (52 weeks) and 1 January 2017 for the prior year (52 weeks).



**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**2. Accounting policies**

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

**2.1 Basis of preparation**

The financial statements have been prepared on the going concern basis and in accordance with accounting standards issued by the UK Financial Reporting Council and the Companies Act 2014. The financial statements comply with the Financial Reporting Standard 101, 'Reduced Disclosure Framework' ("FRS 101"), The Financial Reporting Standard applicable in the UK and Republic of Ireland and the Companies Act 2014 ("the Act"). The financial statements have been prepared under the historical cost basis with financial instruments designated at fair value through profit or loss on initial recognition.

As permitted by the Companies Act 2014, the directors have adapted the prescribed format of the income statement in a manner appropriate to the nature of the company's business.

The directors have elected to apply the amendments to Schedule III Part II of the Companies Act 2014, introduced by the Companies (Accounting) Act 2017, which allows the directors to adopt a balance sheet and profit and loss format in a different way than the formats as prescribed by Section B, provided that the information given is at least equivalent to that which would have been required by the use of such format. To ensure comparability, corresponding amounts have been disclosed in the same format.

The preparation of financial statements in conformity with FRS 101 requires the use of certain accounting estimates and assumptions that affect the reported amount of assets and liabilities at the date of the financial statements and the reported amounts of revenue and expenses during the reporting period. It also requires management to exercise its judgement in the process of applying the company's accounting policies. Although these estimates are based on management's best knowledge of the amount, event or actions, actual results ultimately may differ from those estimates. The areas involving a higher degree of judgement or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 3 (Critical accounting estimates and judgements).

FRS 101 sets out a reduced disclosure framework for a 'qualifying entity' as defined in FRS 101 which addresses the financial reporting requirements and disclosure exemptions in the financial statements of qualifying entities that otherwise apply the recognition, measurement and disclosure requirements of EU-adopted IFRS.

The company is a qualifying entity for the purposes of FRS 101. Detail of the company's parent and where its consolidated financial statements prepared in accordance with Generally Accepted Accounting Practice considered to be an equivalent to IFRS may be obtained as set out in note 1 to the financial statements.

---

## JANSSEN PHARMACEUTICAL

---

### NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

## 2. Accounting policies (continued)

### 2.1 Basis of preparation (continued)

In accordance with FRS 101, the company has availed of an exemption from the following requirements of IFRS:

- Paragraphs 45 (b) and 46 to 52 of IFRS 2, 'Share Based Payment'
- IFRS7, 'Financial Instruments: Disclosures'
- Paragraphs 91 to 99 of IFRS 13, 'Fair value measurement' (disclosure of valuation techniques and inputs used for fair value measurement of assets and liabilities)
- Paragraph 38 of IAS 1, 'Presentation of financial statements' comparative information requirements in respect of:
  - Paragraph 79(a) (iv) of IAS 1;
  - Paragraph 73(e) of IAS 16 Property, plant and equipment;
- The following paragraphs of IAS 1, 'Presentation of financial statements':
  - 10 (d) (statement of cash flows)
  - 16 (statement of compliance with all IFRS)
  - 38A (requirement for minimum of two primary statements, including cash flow statements)
  - 38B-D (additional comparative information)
  - 111 (cash flow statement information)
  - 134-136 (capital management disclosure)
- IAS 7, 'Statement of cash flows'
- Paragraph 30 and 31 of IAS 8 'Accounting Policies, changes in accounting estimates and errors' (requirement for the disclosure of information when an entity has not applied a new IFRS that has been issued but is not yet effective)
- Paragraph 17 of IAS 24, 'Related party disclosures' (key management compensation), and
- The requirements in IAS 24, 'Related party disclosures' to disclose related party transactions entered into between two or more members of a group.
- The requirements of paragraphs 134(d)-134(f) and 135(c)-135(e) of IAS 36 Impairment of Assets

The remaining exemptions available under the framework are not applicable to the company at this time.

### 2.2 New standards, amendments and IFRIC interpretations

No new accounting standards or amendments to accounting standards, or IFRIC interpretations that are effective for the financial year ended 31 December 2017, have had a material impact on the company.

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**2. Accounting policies (continued)**

**2.3 Going concern**

The net current liability position of the company could have a negative impact on the company's ability to continue to operate as a going concern. The company has net current liabilities at year end of €13,406,903,000 (2016: €14,288,966,000).

The company is reliant on implicit support from its ultimate parent company Johnson & Johnson. The company actively monitors the cash flow with the intention to enable a gradual repayment of the outstanding payable position. The company has a number of subsidiaries which have healthy cash flows which can sustain such a gradual repayment.

Therefore the directors, after making enquiries and having considered the company's financial position and expected future cash flows, have a reasonable expectations that the company had adequate resources to continue in operational existence for the foreseeable future. For this reason, the going concern basis continues to be adopted in preparing the financial statements.

**2.4 Financial instruments**

The company recognises financial instruments when it becomes a party to the contractual arrangements of the instrument. Financial instruments are de-recognised when they are discharged or when the contractual terms expire. The company's accounting policy in respect of financial instruments transactions are explained below.

**a) Financial assets at fair value through profit or loss**

Financial assets at fair value through profit or loss are financial assets held for trading. A financial asset classified in this category if acquired principally for the purpose of selling in the short term. Derivatives are also categorised as held for trading unless they are designated as hedges. Assets in this category are classified as current assets if expected to be settled within 12 months, otherwise they are classified as non-current investments.

**b) Loans and receivables**

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They are included in current assets, except for maturities greater than 12 months after the end of the reporting period. These are classified as non-current assets. the company's loans and receivables comprise 'debtors' in the statement of financial position.

**c) Financial liabilities**

The company classifies all of its financial liabilities at amortised cost.

**d) At amortised cost**

Financial liabilities at amortised cost including bank borrowings are initially recognised at fair value net of any transaction costs directly attributable to the issue of the instrument. Such interest bearing liabilities are subsequently measured at amortised cost using the effective interest rate method, which ensures that any interest expense over the period to repayment is at a constant rate on the balance of the liability carried into the statement of financial position.

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**2. Accounting policies (continued)**

**2.5 Impairment of financial assets**

Assets carried at amortised cost.

The company assesses at the end of each reporting period whether there is objective evidence that a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss' event) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets than can be reliably estimated.

**2.6 Derivative financial instruments and hedge accounting**

The company has chosen not to apply hedge accounting and all derivatives are measured at fair value through profit and loss.

**2.7 Investment in subsidiaries**

Investments in subsidiaries are recorded at cost, less accumulated impairment losses.

**2.8 Trade and other receivables**

Trade and other receivables are amount due from customers for merchandise sold or services performed in the ordinary course of business. If collection is expected in one year or less they are classified as current assets. If not, they are presented as non-current assets.

Trade and other receivables are recognised at fair value less provisions for impairments.

**2.9 Cash and cash equivalents**

Cash and cash equivalents includes cash on hand, deposits held with banks, other short term highly liquid investments with original maturities of three months or less.

**2.10 Trade and other payables**

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers.

Trade payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method. Accruals and deferred income comprise expenses relating to the current year which will not be invoiced until after the date of the statement of financial position, and income received in advance relating to the following year.

---

## JANSSEN PHARMACEUTICAL

---

### NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

## 2. Accounting policies (continued)

### 2.11 Pension obligations

The company participates in the Johnson & Johnson Ireland group defined benefit pension scheme.

The liability recognised in the statement of financial position in respect of defined benefit pension schemes is the present value of the defined benefit obligation at the end of the reporting period less the fair value of the scheme assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation.

Remeasurement gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to shareholders' funds in other comprehensive income in the period in which they arise.

The amount charged or credited to finance costs is a net interest amount calculated by applying the liability discount rate to the net defined benefit liability or asset.

Past service cost are recognised immediately in the income statement.

### 2.12 Ordinary shares

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new ordinary shares or options are shown in equity as a deduction, net of tax, from the proceeds.

### 2.13 Interest income

Interest income is recognised in the income statement using the effective interest method.

### 2.14 Foreign currency translation

#### (a) Functional and presentation currency

Items included in the financial statements of the company are measured using the currency of the primary economic environment in which the company operates ('the functional currency'). The financial statements are presented in Euro (€), which is also the company's functional currency and unless otherwise stated the financial statements have been presented in thousands ('000).

#### (b) Transactions and balances

Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are re-measured. Foreign exchange gains and losses from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

### 2.15 Interest payable

Interest payable is recognised in the income statement on an accruals basis.

---

## JANSSEN PHARMACEUTICAL

---

### NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

#### 2. Accounting policies (continued)

##### 2.16 Dividend income

Dividend income is recognised when the right to receive payment is established.

##### 2.17 Dividend distributions

Dividend distributions to the company's shareholders are recognised as a liability by the company's financial statements in the financial year in which the dividends are approved by the company's shareholders.

##### 2.18 Current and deferred income tax

The tax expense for the period comprises current and deferred tax. Tax is recognised in the income statement, except to the extent that it relates to items recognised in other comprehensive income or directly in equity.

The current income tax charge is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. It establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognised on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the financial statements. However, deferred tax liabilities are not recognised if they arise from the initial recognition of goodwill; or arise from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates that have been enacted or substantively enacted by the date of the statement of financial position and are expected to apply when the related deferred income tax asset or the deferred income tax liability is settled.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profit will be available against which temporary differences can be utilised.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

##### 2.19 Corresponding amounts

Certain corresponding amounts have been adjusted so they are directly comparable with the amounts shown in respect of the current financial year.

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**3. Critical accounting estimates and judgements**

The company makes estimates and assumptions concerning the future. The resulting accounting estimates will, by definition, seldom equal the related actual results. The estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below:

**a) Carrying value of investment in subsidiaries**

Investments in subsidiaries are carried at amortised cost. The company assesses at the end of each reporting period whether there is objective evidence that an investment in subsidiary is impaired. A financial asset or a group of financial assets is impaired and impairment losses are incurred only if there is objective evidence impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss' event) and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or group of financial assets that can be reliably estimated. (Refer to note 12 for details of the carrying value of investments in subsidiaries at year end).

**b) Carrying value of amounts owed from fellow subsidiary undertakings**

The directors make an assessment at the end of each financial year of whether there is objective evidence that amounts due from fellow subsidiaries are impaired. When assessing impairment of amounts due from fellow subsidiaries, the directors consider factors including the credit rating of the counterparty, reviewing any significant events since the end of the financial year and the impact of any restructuring within the group. The directors make a decision on any potential impairments based on this assessment. (Refer to note 13 for the net carrying amount of the amounts due from fellow subsidiary undertakings and any provisions for impairment at the end of the financial year).

---

**JANSSEN PHARMACEUTICAL**

---

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**4. Operating profit**

Operating profit is stated after charging/(crediting):

|                                             | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial<br/>year ended 1<br/>January<br/>2016<br/>€000</i> |
|---------------------------------------------|-----------------------------------------------------------------------|-----------------------------------------------------------------|
| Depreciation of tangible assets             | -                                                                     | 18,121                                                          |
| Amortisation of intangible assets           | -                                                                     | 2,103                                                           |
| Foreign exchange (gain)/loss                | <b>(1)</b>                                                            | 6,254                                                           |
| Defined benefit pension scheme              | -                                                                     | 4,452                                                           |
| Share based payment expense                 | -                                                                     | 542                                                             |
| Other operating expenses                    | <b>6,989</b>                                                          | 741,592                                                         |
| Inventory recognised as expense             | -                                                                     | 253,797                                                         |
| Impairment of inventory                     | -                                                                     | 3,316                                                           |
| <b>Cost of sales and operating expenses</b> | <b>6,988</b>                                                          | <b>1,030,177</b>                                                |

**5. Auditors' remuneration**

Remuneration for the statutory audit and other services carried out for the company by the company's auditors is as follows:

|                                                    | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial<br/>year ended 1<br/>January<br/>2016<br/>€000</i> |
|----------------------------------------------------|-----------------------------------------------------------------------|-----------------------------------------------------------------|
| Audit of financial statements (including expenses) | <b>10</b>                                                             | 107                                                             |
|                                                    | <b>10</b>                                                             | 107                                                             |



---

**JANSSEN PHARMACEUTICAL**

---

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**6. Employees**

Staff costs including directors' remuneration were as follows:

|                                      | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial<br/>year ended 1<br/>January<br/>2017<br/>€000</i> |
|--------------------------------------|-----------------------------------------------------------------------|-----------------------------------------------------------------|
| Wages and salaries                   | -                                                                     | 30,119                                                          |
| Social insurance costs               | -                                                                     | 3,062                                                           |
| Defined benefit pension scheme costs | -                                                                     | 4,452                                                           |
| Share based payment                  | -                                                                     | 542                                                             |
|                                      | <hr/>                                                                 | <hr/>                                                           |
|                                      | -                                                                     | 38,175                                                          |
|                                      | <hr/> <hr/>                                                           | <hr/> <hr/>                                                     |

Capitalised employee costs during the financial year amounted to *€NIL* (2016: *€NIL*).

The average number of employees, including the directors, during the financial year was as follows:

|                                | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>No.</b> | <i>Financial<br/>year ended<br/>1 January<br/>2017<br/>No.</i> |
|--------------------------------|----------------------------------------------------------------------|----------------------------------------------------------------|
| Administration and engineering | 0                                                                    | 225                                                            |
| Production                     | 0                                                                    | 312                                                            |
|                                | <hr/>                                                                | <hr/>                                                          |
|                                | 0                                                                    | 537                                                            |
|                                | <hr/> <hr/>                                                          | <hr/> <hr/>                                                    |

On 1 January 2017 all Janssen Pharmaceutical employees were transferred to Janssen Pharmaceutical Sciences UC.

The directors did not receive remuneration from the company during the financial year (2016: *€nil*).

---

JANSSEN PHARMACEUTICAL

---

NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

7. Income from investments in subsidiaries

|                                                     | Financial<br>year ended<br>31<br>December<br>2017<br>€000 | Financial<br>year ended<br>1 January<br>2017<br>€000 |
|-----------------------------------------------------|-----------------------------------------------------------|------------------------------------------------------|
| Dividends received from investments in subsidiaries | (333,230)                                                 | (2,418,878)                                          |
|                                                     | <u>(333,230)</u>                                          | <u>(2,418,878)</u>                                   |

8. Interest receivable and similar income

|                           | Financial<br>year ended<br>31<br>December<br>2017<br>€000 | Financial<br>year ended<br>1 January<br>2017<br>€000 |
|---------------------------|-----------------------------------------------------------|------------------------------------------------------|
| Other interest receivable | 44                                                        | 12                                                   |
|                           | <u>44</u>                                                 | <u>12</u>                                            |

9. Interest payable and similar expenses

|                                     | Financial<br>year ended<br>31<br>December<br>2017<br>€000 | Financial<br>year ended<br>1 January<br>2017<br>€000 |
|-------------------------------------|-----------------------------------------------------------|------------------------------------------------------|
| Interest payable to group companies | 146,983                                                   | 102,737                                              |
|                                     | <u>146,983</u>                                            | <u>102,737</u>                                       |

---

**JANSSEN PHARMACEUTICAL**

---

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**10. Other finance income/(expense)**

|                                                                               | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial<br/>year ended<br/>1 January<br/>2017<br/>€000</i> |
|-------------------------------------------------------------------------------|-----------------------------------------------------------------------|-----------------------------------------------------------------|
| Differences arising on translation of foreign currency assets and liabilities | <b>1,937,100</b>                                                      | <i>(471,797)</i>                                                |
| Fair value (losses)/gains on derivative financial instruments                 | <b>(200)</b>                                                          | <i>200</i>                                                      |
| Other finance expense - defined benefit pension scheme                        | -                                                                     | <i>(1,368)</i>                                                  |
| Other income                                                                  | -                                                                     | <i>40,391</i>                                                   |
|                                                                               | <b>1,936,900</b>                                                      | <i>(432,574)</i>                                                |

**11. Income tax**

|                                                   | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial<br/>year ended<br/>1 January<br/>2017<br/>€000</i> |
|---------------------------------------------------|-----------------------------------------------------------------------|-----------------------------------------------------------------|
| <b>Tax included in the income statement</b>       |                                                                       |                                                                 |
| Current tax on profits for the financial year     | -                                                                     | <i>18,644</i>                                                   |
| Adjustments in respect of previous financial year | -                                                                     | <i>(3,852)</i>                                                  |
|                                                   | -                                                                     | <i>14,792</i>                                                   |
| <b>Total current tax</b>                          | -                                                                     | <i>14,792</i>                                                   |
| <b>Deferred tax</b>                               |                                                                       |                                                                 |
| Other timing differences                          | -                                                                     | <i>463</i>                                                      |
| Depreciation in excess of capital allowances      | -                                                                     | <i>(3,355)</i>                                                  |
| <b>Total deferred tax</b>                         | -                                                                     | <i>(2,892)</i>                                                  |
| <b>Total tax on profit on ordinary activities</b> | -                                                                     | <i>11,900</i>                                                   |

---

**JANSSEN PHARMACEUTICAL**

---

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**11. Income tax (continued)**

**Factors affecting tax charge for the financial year**

The current tax charged for the financial year is lower than (2016: lower than) the standard rate of corporation tax in Ireland of 12.5% (2016: 12.5%). The differences are explained below:

|                                                                                                                 | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial<br/>year ended 1<br/>January<br/>2017<br/>€000</i> |
|-----------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------|-----------------------------------------------------------------|
| Profit on ordinary activities before income tax                                                                 | <b>2,486,073</b>                                                      | <b>1,978,720</b>                                                |
| Profit on ordinary activities multiplied by standard rate of corporation tax in Ireland of 12.5% (2016: 12.5 %) | <b>310,759</b>                                                        | <b>247,340</b>                                                  |
| <b>Effects of:</b>                                                                                              |                                                                       |                                                                 |
| Net expenses not deductible for tax purposes                                                                    | -                                                                     | (309)                                                           |
| Adjustments in respect of prior year                                                                            | -                                                                     | (3,852)                                                         |
| Tax relief at source on medical insurance premiums                                                              | -                                                                     | 135                                                             |
| Other adjustments                                                                                               | -                                                                     | (833)                                                           |
| Profits not within charge to Irish tax                                                                          | <b>(310,759)</b>                                                      | <b>(230,581)</b>                                                |
| <b>Total tax expense included in the income statement</b>                                                       | <b>-</b>                                                              | <b>11,900</b>                                                   |

|                                                                   | <b>Financial<br/>year ended<br/>31<br/>December<br/>2017<br/>€000</b> | <i>Financial year<br/>ended 1<br/>January<br/>2017<br/>€000</i> |
|-------------------------------------------------------------------|-----------------------------------------------------------------------|-----------------------------------------------------------------|
| <b>Current tax</b>                                                |                                                                       |                                                                 |
| Current tax on items in other comprehensive income                | -                                                                     | -                                                               |
| <b>Deferred tax</b>                                               |                                                                       |                                                                 |
| Deferred tax on actuarial loss relating to defined benefit scheme | -                                                                     | 2,446                                                           |
| <b>Total tax income included in other comprehensive income</b>    | <b>-</b>                                                              | <b>2,446</b>                                                    |

## JANSSEN PHARMACEUTICAL

### NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

#### 12. Investments in subsidiaries

|                               | Investments<br>in subsidiary<br>companies<br>€000 |
|-------------------------------|---------------------------------------------------|
| <b>Cost</b>                   |                                                   |
| At 2 January 2017             | 33,031,105                                        |
| Additions                     | 1,234,140                                         |
| At 31 December 2017           | <u>34,265,245</u>                                 |
| <b>Accumulated impairment</b> |                                                   |
| At 2 January 2017             | 369,870                                           |
| Reversal of impairment        | <u>(369,870)</u>                                  |
| <b>Net Book Value</b>         |                                                   |
| At 31 December 2017           | <u><u>34,265,245</u></u>                          |
| At 2 January 2017             | <u><u>32,661,235</u></u>                          |

Additions of €1,234,140,000 relates to investment in subsidiary with Janssen Pharmaceutical Sciences Unlimited Company.

During the financial year the impairment losses previously recognised for Turnbuckle Investment Unlimited Company were reversed as the previous provision for impairment is no longer necessary as the value of the company is greater than the value of the investment held before provision.

#### Subsidiary undertakings

The following were subsidiary undertakings of the company:

| Name                                                | Country of<br>incorporation & registered<br>office                                                                | Class of<br>shares | Holding | Principal activity                                                           |
|-----------------------------------------------------|-------------------------------------------------------------------------------------------------------------------|--------------------|---------|------------------------------------------------------------------------------|
| Jansen Pharmaceutical<br>Sciences Unlimited Company | Little Island Industrial Estate,<br>Little Island, Co Cork, Ireland                                               | Ordinary           | 99.99 % | Manufacture and<br>distribution of<br>pharmaceutical and<br>medical products |
| Turnbuckle Investment<br>Company                    | c/o Janssen Pharmaceutical<br>Sciences UC, Little Island<br>Industrial Estate, Little Island, Co<br>Cork, Ireland | Ordinary           | 99.99 % | Treasury<br>management                                                       |
| Janssen Alzheimer<br>Immunotherapy (Holdings) Ltd   | Little Island Industrial Estate,<br>Little Island, Co Cork, Ireland                                               | Ordinary           | 100 %   | Holding company                                                              |

---

**JANSSEN PHARMACEUTICAL**

---

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**12. Investments in subsidiaries (continued)**

|                     |                                                                                                                   |          |         |                 |
|---------------------|-------------------------------------------------------------------------------------------------------------------|----------|---------|-----------------|
|                     | c/o Janssen Pharmaceutical<br>Sciences UC, Little Island<br>Industrial Estate, Little island, Co<br>Cork, Ireland | Ordinary | 99.99 % | Holding company |
| Ethicon PR Holdings |                                                                                                                   |          |         |                 |

The directors consider the value of the company's investment in the unlisted undertakings to be not less than the amount stated in the company's statement of financial position.

**13. Trade and other receivables**

|                                               | <b>31<br/>December<br/>2017<br/>€000</b> | <i>1 January<br/>2017<br/>€000</i> |
|-----------------------------------------------|------------------------------------------|------------------------------------|
| <b>Amounts falling due within one year</b>    |                                          |                                    |
| Amounts due by fellow subsidiary undertakings | -                                        | 1,987,328                          |
| Derivative financial instruments (note 15)    | -                                        | 200                                |
|                                               | <u>-</u>                                 | <u>1,987,528</u>                   |
|                                               | <u><u>-</u></u>                          | <u><u>1,987,528</u></u>            |

Amounts owed by fellow subsidiary undertakings are unsecured, are non-interest bearing and are repayable on demand.

**14. Trade and other payables: Amounts falling due within one year**

|                                               | <b>31<br/>December<br/>2017<br/>€000</b> | <i>1 January<br/>2017<br/>€000</i> |
|-----------------------------------------------|------------------------------------------|------------------------------------|
| Amounts due to fellow subsidiary undertakings | <b>13,406,911</b>                        | 16,276,504                         |
|                                               | <u>13,406,911</u>                        | <u>16,276,504</u>                  |
|                                               | <u><u>13,406,911</u></u>                 | <u><u>16,276,504</u></u>           |

Amounts due to fellow subsidiary undertakings are unsecured, non interest bearing and are repayable on demand.

---

## JANSSEN PHARMACEUTICAL

---

### NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

#### 15. Derivative financial instruments

The company has no financial liabilities measured at fair value through profit or loss.

The company has the following financial assets measured at fair value through profit or loss:

|                                    | <b>31<br/>December<br/>2017<br/>€'000</b> | 1 January<br>2017<br>€'000 |
|------------------------------------|-------------------------------------------|----------------------------|
| Forward foreign exchange contracts | -                                         | 200                        |
|                                    | -                                         | 200                        |

The company enters into forward foreign currency contracts to mitigate the exchange risk for certain foreign currency receivables and payables. The forward currency contracts are measured at fair value which is determined using valuation techniques that utilise observable inputs. The key assumptions used in valuing derivatives are the exchange rates for USD: EUR.

**JANSSEN PHARMACEUTICAL**

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

**16. Deferred taxation**

|                                                 | <b>Accelerated/<br/>decelerated<br/>capital<br/>allowances</b> | <b>Retirement<br/>benefits</b> | <b>Provisions for<br/>liabilities</b> | <b>Other</b> | <b>Total</b>    |
|-------------------------------------------------|----------------------------------------------------------------|--------------------------------|---------------------------------------|--------------|-----------------|
|                                                 | <b>€'000</b>                                                   | <b>€'000</b>                   | <b>€'000</b>                          | <b>€'000</b> | <b>€'000</b>    |
| <b>Deferred tax assets</b>                      |                                                                |                                |                                       |              |                 |
| <b>At 4 January 2016</b>                        | <b>(1,238)</b>                                                 | <b>5,567</b>                   | <b>159</b>                            | <b>786</b>   | <b>5,274</b>    |
| (Charged)/credited to the income statement      | <b>3,355</b>                                                   | 354                            | (31)                                  | (786)        | <b>2,892</b>    |
| Credited directly to other comprehensive income | -                                                              | 2,446                          | -                                     | -            | <b>2,446</b>    |
| Transfer to fellow group company                | (2,117)                                                        | (8,367)                        | (128)                                 | -            | <b>(10,612)</b> |
| <b>At 2 January 2017</b>                        | <b>-</b>                                                       | <b>-</b>                       | <b>-</b>                              | <b>-</b>     | <b>-</b>        |
| <b>At 31 December 2017</b>                      | <b>-</b>                                                       | <b>-</b>                       | <b>-</b>                              | <b>-</b>     | <b>-</b>        |

Deferred tax assets and liabilities are offset where the company has a legally enforceable right to do so. The following is the analysis of the deferred tax balances (after offset) for financial reporting purposes:

|                                  | <b>31<br/>December<br/>2017<br/>€000</b> | <b>1 January<br/>2017<br/>€000</b> |
|----------------------------------|------------------------------------------|------------------------------------|
| Deferred tax assets              | -                                        | -                                  |
| Deferred tax liabilities         | -                                        | -                                  |
| <b>Net deferred tax reported</b> | <b>-</b>                                 | <b>-</b>                           |

**17. Dividends**

|                                   | <b>31<br/>December<br/>2017<br/>€000</b> | <b>1 January<br/>2017<br/>€000</b> |
|-----------------------------------|------------------------------------------|------------------------------------|
| Dividends paid on ordinary shares | -                                        | 432,309                            |
|                                   | -                                        | 432,309                            |



---

## JANSSEN PHARMACEUTICAL

---

### NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

#### **18. Share based payments**

Johnson & Johnson, the company's ultimate parent undertaking, operates a share option plan and restricted stock unit (RSU) plan whereby options and RSUs are granted to employees to acquire shares in Johnson & Johnson. The purpose of the plan is to motivate employees to contribute towards the creation of long-term shareholder value. The plan is an equity settled share based payment plan. Share options expire 10 years from the date of grant. Share options and RSU's vest after three years. All options are granted at market price on the date of the grant. The company settles employee stock option exercises with treasury shares of the parent company.

The company recognises a share-based payment expense based on the fair value of the awards granted, and an equivalent credit directly in equity as a capital contribution.

On exercise of the shares by the employees, the company is charged the intrinsic value of the shares by Johnson & Johnson. This amount is treated as a reduction of the capital contribution and is recognised directly in equity.

The weighted average share price at the date of exercise for options exercised in the financial year was \$NIL (2016: \$64.73).

On 1st January 2017, the business and assets of the company were sold to an affiliate company Janssen Pharmaceutical Sciences UC. The share option and restricted stock unit plans were included in the transfer.

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**19. Post employment benefits**

The company operates a defined benefit pension scheme with assets held in a separately administered fund. The scheme provides retirement benefits on the basis of members' final salary.

Plan assets held in the fund are governed by local regulations and practice in the Republic of Ireland. Responsibility for the governance of the plan - including investment decisions and contribution schedules - lies with the board of directors of the fund.

**The risks of the plan are as follows:**

**(a) Asset volatility**

The plan liabilities are calculated using a discount rate set with reference to corporate bond yields. However, the plan holds a significant proportion of equities, which are expected to outperform corporate bonds in the long-term but do provide increased volatility and risk in the short-term.

**(b) Changes in bond yields**

A decrease in corporate bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plans' bond holdings.

**(c) Life expectancy**

The majority of the plan's obligations are to provide benefits for the life of the member, so increases in life expectancy will result in an increase in the plan's liabilities.

**(d) Inflation risk**

The pension obligations are linked to inflation, and higher inflation will lead to higher liabilities (although, in most cases, caps on the level of inflationary increases are in place to protect the plan against extreme inflation). The majority of the plan's assets are either unaffected by (in the case of fixed interest bonds) or loosely correlated with (in the case of equities) inflation, meaning that an increase in inflation will also increase the deficit.

A comprehensive actuarial valuation of the company's pension scheme using the projected unit basis, was carried out at 31 December 2017 by a qualified independent actuary. Adjustments to the valuation at that date have been made based on the following assumption:

---

JANSSEN PHARMACEUTICAL

---

NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

19. Post employment benefits (continued)

|                                                  | 31<br>December<br>2017 | 1 January<br>2017 |
|--------------------------------------------------|------------------------|-------------------|
| Discount rate                                    | -                      | 2.1%              |
| Expected rate of salary increases                | -                      | 3.0%              |
| Expected rate of increase of pensions in payment | -                      | 0.0%              |
| Inflation rate                                   | -                      | 2.0%              |

Assumptions regarding future mortality are set based on advice from published statistics and experience. The mortality assumptions are based on standard mortality tables which allow for future mortality improvements. These assumptions translate into an average life expectancy in years for a pensioner retiring at 65:

Longevity at 65 for current pensioners (years)

|        | 31<br>December<br>2017 | 1 January<br>2017 |
|--------|------------------------|-------------------|
| Male   | -                      | 22.9              |
| Female | -                      | 24.9              |

Longevity at 65 for future pensioners (years):

|        | 31<br>December<br>2017 | 1 January<br>2017 |
|--------|------------------------|-------------------|
| Male   | -                      | 25.7              |
| Female | -                      | 27.8              |

The sensitivity of the defined benefit obligation at 31 December 2017 to changes in the most significant assumptions is:

---

**JANSSEN PHARMACEUTICAL**

---

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**19. Post employment benefits (continued)**

|                    | <b>Change in<br/>assumption</b> | <b>Increase in<br/>assumption</b> | <b>Decrease in<br/>assumption</b> |
|--------------------|---------------------------------|-----------------------------------|-----------------------------------|
|                    |                                 | <b>Decrease by</b>                | <b>Increase by</b>                |
| Discount rate      | <b>0.50%</b>                    | <b>13.1%</b>                      | <b>15.6%</b>                      |
|                    |                                 | <b>Decrease by</b>                | <b>Increase by</b>                |
| Salary growth rate | <b>0.50%</b>                    | <b>9.1%</b>                       | <b>8.1%</b>                       |
|                    |                                 | <b>Increase by</b>                | <b>Decrease by</b>                |
| Life expectancy    | <b>One year</b>                 | <b>2.4%</b>                       | <b>2.4%</b>                       |

The above sensitivity analyses are based on a change in assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions, the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting year) has been applied as when calculating the liability recognised within the statement of financial position.

**Reconciliation of scheme assets and liabilities**

|                               | <b>Assets<br/>€'000</b> | <b>Liabilities<br/>€'000</b> | <b>Total<br/>€'000</b> |
|-------------------------------|-------------------------|------------------------------|------------------------|
| <b>At 2 January 2017</b>      | -                       | -                            | -                      |
| Benefits paid                 | -                       | -                            | -                      |
| Employer contributions        | -                       | -                            | -                      |
| Current service costs         | -                       | -                            | -                      |
| Interest income/(expense)     | -                       | -                            | -                      |
| Remeasurements gains/(losses) | -                       | -                            | -                      |
| <b>At 31 December 2017</b>    | -                       | -                            | -                      |

**Total cost/income recognised as expense/(income):**

|                      | <b>31<br/>December<br/>2017<br/>€000</b> | <b>1 January<br/>2017<br/>€000</b> |
|----------------------|------------------------------------------|------------------------------------|
| Current service cost | -                                        | 4,452                              |
| Interest income      | -                                        | (4,647)                            |
|                      | -                                        | (195)                              |

---

JANSSEN PHARMACEUTICAL

---

NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

19. Post employment benefits (continued)

The fair value of plan assets was:

|                    | 31<br>December<br>2017<br>€000 | 1 January<br>2017<br>€000 |
|--------------------|--------------------------------|---------------------------|
| Equity instruments | -                              | 60,040                    |
| Bonds              | -                              | 15,006                    |
| Other              | -                              | 98                        |
|                    | <u>-</u>                       | <u>75,144</u>             |

The return on the plan assets was:

|                                    | 31<br>December<br>2017<br>€000 | 1 January<br>2017<br>€000 |
|------------------------------------|--------------------------------|---------------------------|
| Interest income                    | -                              | 4,647                     |
| Remeasurements                     | -                              | 70,497                    |
| <b>Total return on plan assets</b> | <u>-</u>                       | <u>75,144</u>             |

On 1 January 2017, the defined benefit pension scheme liability was transferred to Janssen Pharmaceutical Sciences UC as part of the transfer of the business and associated asset and liabilities.

---

**JANSSEN PHARMACEUTICAL**

---

**NOTES TO THE FINANCIAL STATEMENTS  
FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017**

---

**20. Ordinary shares**

**Shares classified as equity**

|                                                                     | <b>31<br/>December<br/>2017<br/>€000</b> | <i>1 January<br/>2017<br/>€000</i> |
|---------------------------------------------------------------------|------------------------------------------|------------------------------------|
| <b>Authorised</b>                                                   |                                          |                                    |
| 16,000,000,000 (2016: 16,000,000,000) Ordinary shares of €1.25 each | <u><b>20,000,000</b></u>                 | <u>20,000,000</u>                  |
| <b>Allotted, called up and fully paid</b>                           |                                          |                                    |
| 10,901,474,820 (2016: 1,194,143,747) Ordinary shares of €1.25 each  | <u><b>13,626,844</b></u>                 | <u>1,492,680</u>                   |

|                                                             | <b>31<br/>December<br/>2017<br/>€000</b> | <b>1 January<br/>2017<br/>€000</b> |
|-------------------------------------------------------------|------------------------------------------|------------------------------------|
| At beginning of financial year                              | <b>1,492,680</b>                         | <b>1,496</b>                       |
| Ordinary shares issued during the financial year (note 1)   | <b>12,230,280</b>                        | <b>1,492,680</b>                   |
| Ordinary shares redeemed during the financial year (note 2) | <b>(96,116)</b>                          | <b>(1,496)</b>                     |
| <b>At end of financial year</b>                             | <u><b>13,626,844</b></u>                 | <u><b>1,492,680</b></u>            |

1. On 26th December 2016 Ethicon Ireland Unlimited transferred its interest in Ethicon PR Holdings Unlimited Company to Janssen Pharmaceutical in exchange for new shares in Janssen Pharmaceutical.

Under the terms of the merger, Depuy Ortho, JNJ LLC and JNJ ULC received shares in Janssen Pharmaceutical as consideration for the transfer of assets and liabilities of Janssen Pharmaceutical International Holdings Limited to Janssen Pharmaceutical.

2. Pursuant to the merger of Janssen Pharmaceutical International Holdings Limited, the company acquired 1,196,940 shares during the financial year 2015. Subsequently these shares were cancelled by way of share capital reduction.

On 5th December 2017, pursuant to the constitution of the company the issued share capital was reduced by 76,892,677 ordinary shares held by Ethicon Ireland Unlimited Company, without any consideration being paid in respect thereof.

---

## JANSSEN PHARMACEUTICAL

---

### NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 DECEMBER 2017

---

#### 21. Share premium

The share premium account represents the amounts paid in excess of the nominal value of ordinary shares by the shareholder of the company in respect of ordinary shares issue.

During the financial year 2016, pursuant to the merger of Janssen Pharmaceutical International Holdings Limited, the company acquired 1,196,940 shares resulting in a decrease to share premium of €1,496,000.

On 26th December 2016 Ethicon Ireland Unlimited transferred its interest in Ethicon PR Holdings Unlimited Company to Janssen Pharmaceutical in exchange for new shares in Janssen Pharmaceutical resulting in an increase to share premium of €3,742,360,000.

During the financial year 2017 there was a reduction in share premium of €241,073,000 relating to the redemption of shares issued to Ethicon Ireland. Share premium of €7,215,247,000 was reclassified to merger reserve, arising from the merger with Janssen Pharmaceutical International Holdings.

#### Capital redemption reserve

On 5th December 2017, issued shared capital was reduced by 76,892,677 ordinary shares held by Ethicon Ireland Unlimited Company, without any consideration being paid in respect thereof.

During the financial year 2017 there was a reduction in share premium of €241,073,000 relating to the redemption of shares issued to Ethicon Ireland.

#### Other reserves

Share based payment Reserve of €1,304,000 was reclassified to other reserves in 2017 (2016: €1,304,000). On 1 January 2017 all Janssen Pharmaceutical employees were transferred to Janssen Pharmaceutical Sciences UC.

#### Merger reserve

On 23 December 2016, Janssen Pharmaceutical International Holdings Limited merged with the company and transferred its assets and liabilities to Janssen Pharmaceutical which resulted in a negative merger reserve of €1,914,059,000.

As a result of the merger with Janssen Pharmaceutical International Holdings Limited, there was an increase in share capital of €12,230,280,000. Share premium of €7,215,247,000 was reclassified from share premium, to merger reserve, arising from the merger with Janssen Pharmaceutical International Holdings.

#### 22. Events since the year end

There have been no events impacting the company since the year end.

#### 23. Approval of financial statements

The financial statements were approved and authorised for issue by the board of directors on 9 October 2018 and were signed on its behalf on that date.